

Chapter Seven

Culture, Power, and Politics in an Organization

Chapter Outline

- *Organizational Culture*
- *Dimension and functions of Organizational Culture*
- *Characteristics of a healthy organizational Climate*
- *Diversity in an organization*
- *Managerial decisions affected by culture*
- *Managing cultural change*
- *Power and authority*
- *Sources of power*
- *Leadership, power and Politics in an organization*

ORGANIZATIONAL CULTURE

- *Organizational culture ...the shared values, principles, traditions, and ways of doing things that influence the way organizational members act.*
- *In most organizations, these shared values and practices have evolved over time and determine, to a large extent, how “things are done around here.”*

ORGANIZATIONAL CULTURE

- *The corporate culture “consists of norms, values and unwritten rules of conduct of an organization as well as management styles, priorities, belief and interpersonal behaviors that prevail.*
- *Together they create climate that influences how well people communicate, plan and make decisions”*

ORGANIZATIONAL CULTURE

- *Organizational culture originates from the founders of the organization based on value system held by them. It is further passed on, down the line.*
- *Organizational culture is also a function of the nature of work and goals of the organization.*
- *It is visible from the **organizational structure**.*

ORGANIZATIONAL CULTURE

- *Centralized* command and control, strict hierarchy and fixed communication are indicative of formal culture with little freedom of action and with scant attention to innovation and creativity.
- While *decentralized* work culture will promote autonomy that will lead to greater job satisfaction.

DIMENSIONS OF ORGANIZATIONAL CULTURE

- *Innovation and risk-taking*: the degree to which employees are encouraged to be innovative and take risks
- *Attention to detail*: the degree to which employees are expected to exhibit precision, analysis, and attention to detail
- *Outcome orientation*: the degree to which management focuses on results rather than on processes

DIMENSIONS OF ORGANIZATIONAL CULTURE

- *People orientation*: the degree to which management decisions take into consideration the effect of outcomes on people within the organization
- *Team orientation*: the degree to which work activities are organized around teams rather than individuals
- *Aggressiveness*: the degree to which people are aggressive and competitive rather than easygoing
- *Stability*: the degree to which organizational activities emphasize maintaining the status quo in contrast to growth

Functions of Culture

Culture performs several functions within an organization

- It gives members an organizational identity*
- Creates a distinction between one organization and others (It provides a boundary)*
- Generates a commitment to something larger than one's self-interest*
- Enhances the stability of the organization's social system (e.g., provides standards for what employees should say and do)*
- Helps shape the attitudes and behavior of employees by helping members make sense of their surroundings*

Characteristics of A Healthy Organizational Climate

A healthy organizational climate might be expected to exhibit such characteristic features as:

- The integration of organizational goals and personal goals;*
- The most appropriate organization structure based on the demands of the socio technical system;*
- Democratic functioning of the organization with full opportunities for participation;*
- justice in treatment with equitable HRM and employment relations policies and practices;*
- mutual trust, consideration and support among different levels of the organization;*
- the open discussion of conflict with an attempt to avoid confrontation;*

Characteristics of a Healthy Organizational Climate

- *managerial behavior and styles of leadership appropriate to the particular work situations;*
- *acceptance of the psychological contract between the individual and the organization;*
- *recognition of people's needs and expectations at work and individual differences and attributes;*
- *Equitable systems of rewards based on positive recognition;*
- *Concern for the quality of working life and job design;*
- *Opportunities for personal development and career progression;*
- *a sense of identity with, and loyalty to, the organization and a feeling of being a valued and important member*

Culture affects managerial decisions

- *A manager's decisions are influenced by the culture in which he or she operates.*
- *An organization's culture, especially a strong one, influences and constrains the way managers **plan, organize, lead, and control**.*

Managing cultural change

- ❖ Changing an organization's culture is difficult because it is made up of *relatively stable characteristics* that developed over a long period of time or can be difficult to change such as:
 - Written statements about an organization's mission or philosophy
 - Design of physical spaces and buildings
 - Dominant leadership style
 - Historical selection criteria
 - Past promotion practices
 - Entrenched rituals
 - Popular stories about key people or events
 - Past performance evaluation criteria
 - Formal structure of the organization

Cultural change

- ❖ *Cultural change is more likely to occur when the following conditions exist*
 - *A dramatic crisis exists or is created*
 - *Turnover in leadership*
 - *Young and small organizations*
 - *The culture that currently exists is relatively weak*

Diversity

- *A characteristic of a group of people where differences exist on one or more relevant dimensions such as gender.*
- *Diversity is a group characteristic, not an individual characteristic.*



Common Diversity Dimensions

- *Gender*
- *Race*
- *Ethnicity*
- *Age*
- *Religion*
- *Social Class*
- *Sexual Orientation*
- *Personality*
- *Functional Experience*
- *Geographical Background*



Strategic Importance of Organizational Diversity

- *Improves*
 - *Corporate culture*
 - *Recruitment*
 - *Relationships with clients and customers*
- *Builds competitive advantage*
 - *Understand and serve diverse customer base*
 - *Heterogeneous teams deal better with complex problems and challenging tasks*
 - *More commitment to organization's mission*

Affirmative Action vs Diversity Management

	Affirmative Action	Diversity Management
Purpose	Prevent and remedy discrimination	Create an inclusive, empowered work environment
Assimilation	Assumes individuals will assimilate and adapt	Assumes that managers and the organizations will change
Focus	Recruitment, mobility, and retention	Allows all associates to reach their full potential
Cause of Problems	Does not address the cause of problems	Attempts to uncover the root causes of diversity problems
Time Frame	Temporary, until representation of disadvantaged groups	Ongoing, permanent changes

POWER AND AUTHORITY

- *Power involves a relationship between two or more people.*
- *Robert Dahl, a political scientist, captures this important relational focus when he defines power as “A has power over B to the extent that he can get B to do something B would not otherwise do.”*
- *A person or group cannot have power in isolation; power has to be exercised or have the potential for being exercised in relation to some other person or group*

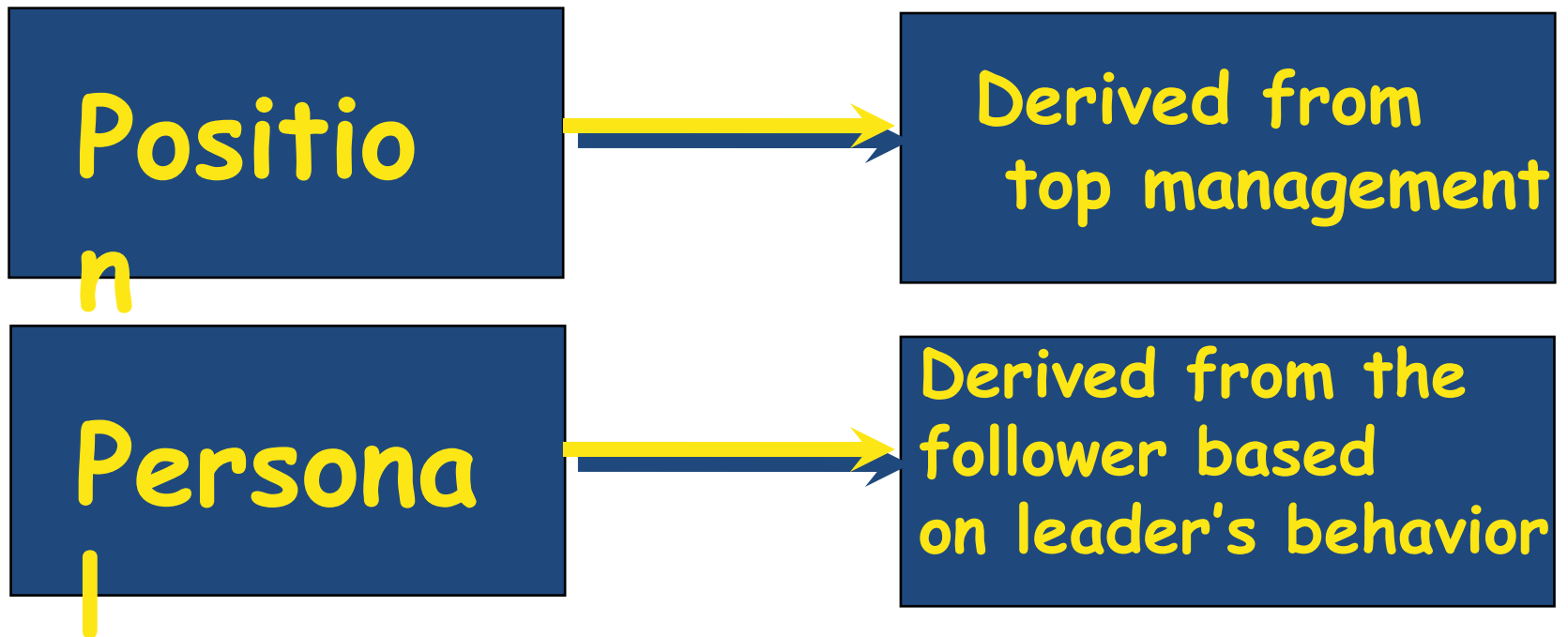
POWER AND AUTHORITY

- *Power may exist but not be used. It is, therefore, a capacity or potential.*
- *Probably the most important aspect of power is that it is a function of dependency.*
- *The greater B's dependence on A, the greater is A's power in the relationship.*
- *Dependence, in turn, is based on alternatives that B perceives and the importance that B places on the alternative(s) that A controls.*
- *A person can have power over you only if he or she controls something you desire.*

Sources of Power

- *Power can be derived from many sources.*
- *How it's obtained in an organization depends to a large extent on the type of power being sought.*
- *Power can be derived from interpersonal, structural, and situational bases*

2 Sources of Power



Sources of Power

Legitimate/legal Power

Reward Power

Coercive Power

Expert Power

Referent Power



Reuters Archive Photos

Types of Power

- *Legal/Legitimate:*
 - *Comes from appointed/elected position*
 - *Most followers grant this to a leader*
- *Reward:*
 - *Control of things valued by followers*
 - *Based on exchange relationship*

Types of Power

Referent:

- Based on *respect & personal relationships*
 - *Earned respect increases referent power*
 - *Being better liked increases referent power*
 - *Being seen as a team player, dedicated, and effective increase referent power*
- *Can be developed by anyone regardless of other types of power or the lack thereof*
- *Critical between:*
 - *Leaders & followers*
 - *Peers*
 - *Leaders & their superiors*
- *Excellent base for a relational or balanced relational/structural leadership style*

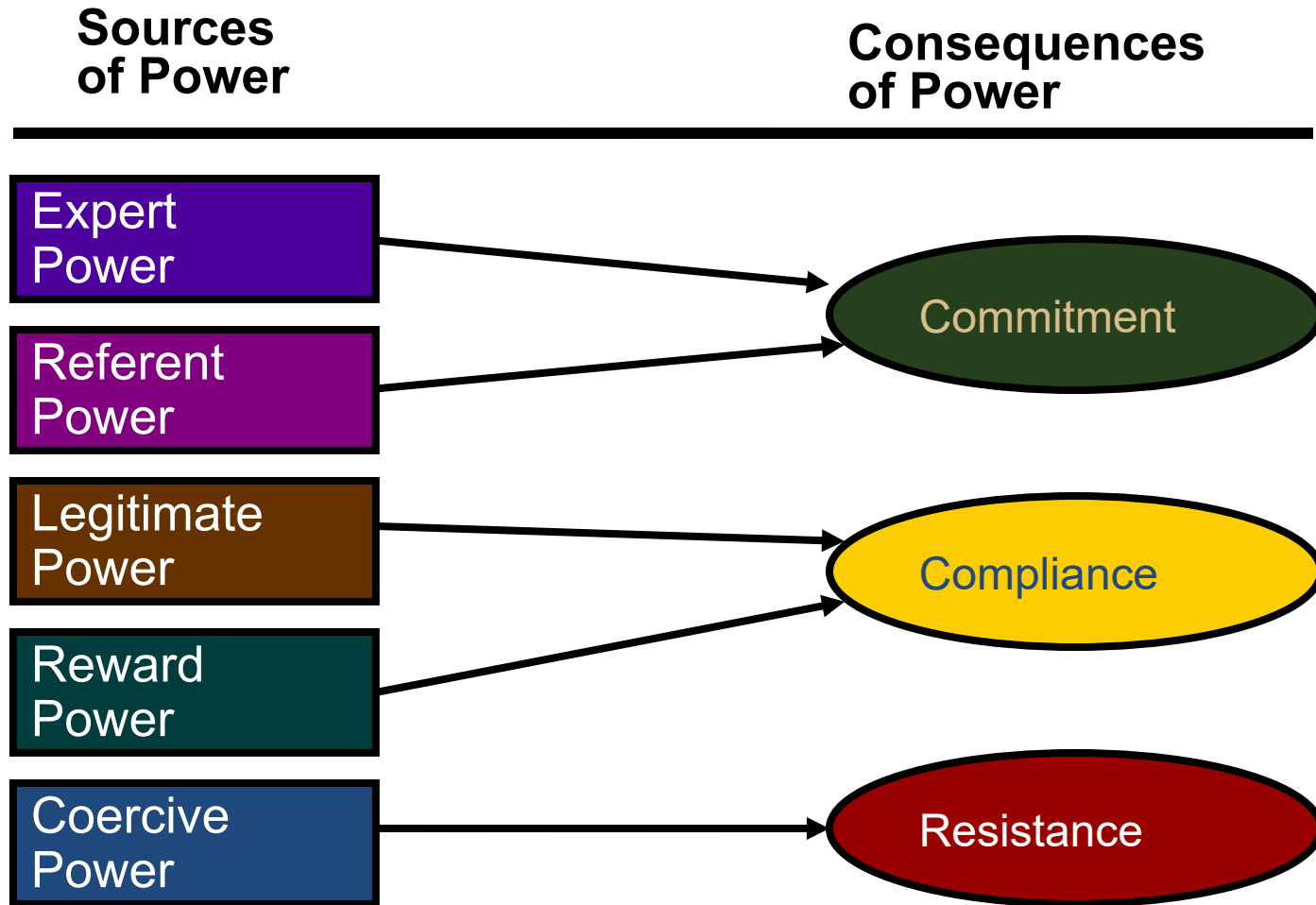
Types of Power

- ***Expert:***
 - *Comes from skill, expertise, knowledge*
 - *Makes others dependent on the person with the power*
 - *Can be for advice, to fix your computer, etc.*
- ***Information/Resource:***
 - *Comes from control of data, information or other needed resources*
 - *\$\$\$*
 - *Equipment*
 - *Human Resources*
 - *Supplies & Material*

Types of Power

- ***Coercive/Punishment:***
 - *Ability to punish or withhold rewards*
 - *Often used by peers to enforce norms*
- ***Connection:***
 - *Comes from associating with influential people*
 - *Political*

Consequences of Power



Leadership, power and Politics in an organization

- *Leaders use power as a means of attaining group goals.*
- *Leaders achieve goals, and power is a means of facilitating their achievement*
- *Power is the capacity of a person, team, or organization to influence others.*
 - *The potential to influence others*
 - *People have power they don't use and may not know they possess*
 - *Power requires one person's perception of dependence on another person*

Leadership, power and Politics in an organization

- *Power-- the capacity to ensure the outcomes one wishes and to prevent those one does not wish.*
- *Influence-- the capacity to affect others.*
- *Authority-- the capacity to give commands, enforce obedience, take action, or make final decisions*
- *Politics refers to the use of power and authority to influence organizational outcomes*

Relationship of power and politics

- *Both are used to affect decision making in the organization or behaviors by members.*
- *Political behavior is dependent on having some type of power, or it can be a way to avoid the lack of organizational power.*
- *Political behavior encompasses efforts to influence the goals, criteria, or processes used for decision-making*

Relationship of power and politics

- *It includes such varied political behaviors as withholding key information from decision makers, whistle blowing, spreading rumors, leaking confidential information about organizational activities to the media, exchanging favors with others in the organization for mutual benefit, and lobbying on behalf of or against a particular individual or decision alternative.*

Thank you

Questions and Comments

